

STUDYHUB
CLASS 12 - MP BOARD
BOOK KEEPING & ACCOUNTANCY — SET 1
English Medium | Set 1

Time: 3 Hours	Maximum Marks: 80
Medium: English	Set: 1

Note: This is an original StudyHub practice paper based on the MPBSE syllabus and examination pattern. It is not an official MPBSE paper.

GENERAL INSTRUCTIONS

1. All questions are compulsory.
2. Questions 1 to 5 are objective-type questions. Each sub-question carries 1 mark.
3. Questions 6 to 15 carry 2 marks each.
4. Questions 16 to 19 carry 3 marks each.
5. Questions 20 to 23 carry 4 marks each.
6. Internal choices are provided from Question 6 to Question 23.
7. There is no word limit for numerical questions.
8. Show necessary calculations and working notes.

SECTION - A

OBJECTIVE TYPE QUESTIONS

Q.1 Choose the correct answer. 1×6=6

(i) A partner withdraws ₹1,000 at the beginning of every month. If interest on drawings is charged at 12% p.a., for how many months will interest be calculated?

- A. 6 months
- B. 6½ months
- C. 5 months
- D. 5½ months

(ii) Goodwill is:

- A. A current asset
- B. An intangible asset
- C. A fictitious asset
- D. A tangible asset

(iii) Which of the following is transferred to the Realisation Account at the time of dissolution?

- A. Partner's Loan
- B. Undistributed Profit
- C. Bank Overdraft
- D. Cash

(iv) Debentures registered in the name of a particular person are called:

- A. Bearer Debentures
- B. Mortgage Debentures

C. Registered Debentures

D. Secured Debentures

(v) The ideal liquid ratio is:

A. 1 : 2

B. 2 : 1

C. 2 : 3

D. 1 : 1

(vi) Which Accounting Standard is related to Cash Flow Statement?

A. AS-3

B. AS-6

C. AS-1

D. AS-7

Q.2 Fill in the blanks. 1×6=6

(i) In a partnership firm, the liability of partners is generally _____.

(ii) A newly admitted partner is not liable for the firm's _____ losses.

(iii) The balance of a retiring partner's capital account, if not paid immediately, may be transferred to his _____ Account.

(iv) Interest on debentures is generally payable at a _____ rate.

(v) According to the Companies Act, 2013, the Balance Sheet is prepared according to Schedule _____.

(vi) Accounting ratios ignore the _____ facts of business.

Q.3 Write True or False. 1×6=6

(i) Under the fluctuating capital method, a separate Current Account is generally not prepared.

(ii) Revaluation Account is prepared at the time of dissolution only.

(iii) Goodwill is an intangible asset.

(iv) A retiring partner is entitled to his share of profit up to the date of retirement.

(v) A company can issue debentures for consideration other than cash.

(vi) Financial statements are prepared to provide useful financial information to users.

Q.4 Match Column A with Column B. 1×7=7

Column A	Column B
(i) Partners collectively	(a) Jointly and severally
(ii) Each partner	(b) Internal management rules
(iii) Liability of partners	(c) Agent of the firm
(iv) Articles of Association	(d) Firm
(v) Minimum Subscription	(e) Not less than 90% of issued capital
(vi) Call Money	(f) Amount called from shareholders
(vii) Memorandum of Association	(g) Foundation/charter of the company

Q.5 Answer in one word/one sentence. 1×7=7

(i) What is the basis of valuation of goodwill under the Average Profit Method?

(ii) What is the excess of actual average profit over normal profit called?

- (iii) Accounting Standard-10 is related to what?
- (iv) What is the nature of a Realisation Account?
- (v) When shares are issued above their face value, what is the excess amount called?
- (vi) Under which heading is inventory shown in a company's Balance Sheet?
- (vii) What effect does payment to creditors have on cash flow?

SECTION - B

SHORT ANSWER QUESTIONS

2 Marks Each

Q.6

What is meant by Partnership Deed?

OR

Write the definition of partnership according to the Indian Partnership Act, 1932.

Q.7

A and B are partners sharing profits in the ratio of 3 : 7. They admit C for $\frac{1}{5}$ share in profits. Calculate the new profit-sharing ratio.

OR

R, S and T share profits equally. They decide to share future profits in the ratio 3 : 2 : 1. Calculate the gaining and sacrificing ratios.

Q.8

What is meant by retirement of a partner?

OR

What is meant by expulsion of a partner?

Q.9

Write any two differences between dissolution of partnership and dissolution of firm.

OR

Write any two differences between Realisation Account and Revaluation Account.

Q.10

Write any two characteristics of a prospectus.

OR

Write any two characteristics of a private company.

Q.11

Explain the statement: "A company is an artificial person created by law."

OR

Explain the concept of the separate legal entity of a company.

Q.12

State the legal status of a debenture holder.

OR

What is meant by a Zero Coupon Rate Debenture?

Q.13

Write any two characteristics of financial statements.

OR

Write any two limitations of financial statements.

Q.14

From the following information, calculate the Debt-Equity Ratio:

Share Capital = ₹5,00,000

General Reserve = ₹2,00,000

12% Debentures = ₹3,50,000

OR

Calculate the Current Ratio:

Current Assets = ₹4,00,000

Current Liabilities = ₹2,50,000

Q.15

What is meant by a non-cash item?

OR

What is meant by a cash equivalent?

SECTION - C

SHORT ANSWER QUESTIONS

3 Marks Each

Q.16

On the death of a partner, how is the amount due to the deceased partner's legal representative calculated? State the major items considered.

OR

Write any three reasons for the retirement of a partner from a firm.

Q.17

A company forfeited 50 equity shares of ₹10 each. The shareholder had paid ₹3 per share on application but failed to pay ₹3 on allotment and ₹4 on the final call. Pass the necessary journal entry for forfeiture of shares.

OR

A company purchased a building for ₹6,00,000. It paid ₹1,00,000 in cash and issued 5,000 equity shares of ₹100 each, fully paid, for the balance. Pass the necessary journal entries.

Q.18

A company issued 1,000 debentures of ₹1,000 each at a premium of ₹100 per debenture. ₹200 was payable on application, ₹300 including premium on allotment and the balance on final call. All amounts were received. Pass the necessary journal entries.

OR

A company issued 8,000 debentures of ₹100 each at a discount of 10%. ₹40 per debenture was payable on application and the balance on allotment. Pass the necessary journal entries.

Q.19

Write any three objectives of preparing financial statements.

OR

Write the major headings under the Equity and Liabilities side of a company's Balance Sheet according to the Companies Act, 2013.

SECTION - D**LONG ANSWER / NUMERICAL QUESTIONS****4 Marks Each****Q.20**

Ram and Mohan are partners sharing profits and losses in the ratio 5 : 2. According to the partnership deed:

Interest on capital is allowed at 5% p.a.

Ram is entitled to a salary of ₹500 per month.

Ram's capital = ₹50,000

Mohan's capital = ₹30,000

Ram's drawings = ₹5,000

Mohan's drawings = ₹8,000

Net profit before interest on capital and salary = ₹45,000.

Prepare the Profit and Loss Appropriation Account.

OR

A, B and C are partners sharing profits in the ratio 4 : 3 : 3. Their capitals are ₹3,00,000, ₹2,00,000 and ₹1,50,000 respectively. Interest on capital is allowed at 5% p.a. A guarantees that C's share of profit after charging interest on capital will not be less than ₹40,000. The firm's net profit is ₹1,60,000. Prepare the Profit and Loss Appropriation Account.

Q.21

Write any four differences between Sacrificing Ratio and Gaining Ratio.

OR

Calculate the value of goodwill on the basis of 2.5 years' purchase of the average profit of the last four years:

Year Profit/Loss

2022 ₹20,000 Loss

2023 ₹30,000 Profit

2024 ₹38,000 Profit

2025 ₹32,000 Profit

Q.22

Write any four differences between Equity Shares and Preference Shares.

OR

Explain any four differences between Shares and Debentures.

Q.23

From the following information, calculate:

(i) Current Ratio

(ii) Quick Ratio

(iii) Debt-Equity Ratio

(iv) Working Capital

Current Assets = ₹4,00,000

Inventory = ₹1,20,000
Prepaid Expenses = ₹20,000
Current Liabilities = ₹2,00,000
Long-term Debt = ₹3,00,000
Shareholders' Funds = ₹5,00,000

OR

Calculate the following:

- (i) Current Ratio
- (ii) Quick Ratio
- (iii) Debt-Equity Ratio
- (iv) Working Capital

Given:

Current Assets = ₹3,60,000
Current Liabilities = ₹1,80,000
Inventory = ₹80,000
Prepaid Expenses = ₹10,000
Long-term Debt = ₹2,40,000
Shareholders' Funds = ₹4,80,000

MARKS VERIFICATION

Questions	Marks
Q.1	6
Q.2	6
Q.3	6
Q.4	7
Q.5	7
Q.6-Q.15	20
Q.16-Q.19	12
Q.20-Q.23	16
TOTAL	80

TOTAL = 80